GMS WEEKLY

Your Source for Recycling News

December 27th, 2024
Week 52
Volume 267, Issue 1166

Highlights:

- **More to be done.**
- **Record low ships.**
- **Price decline.**
- **Further upheaval.**
- **Volatility around.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"If you constantly think of illness, you eventually become ill; if you believe yourself to be beautiful, you become so."

– Shakti Gawain

-- MARKET COMMENTARY --

SEE YOU FOREVER 2024!

As a year of turmoil & global economic tumult winds down on a quiet note as has historically been the case for the week between Christmas and New Year, the world silently turns its way to anticipating a 2025 that is bearing all the signs of a comparatively busier period across all sectors. For week 52 however, it was a different story as not only did global trade ease this week, but economies also took a breather against the raging U.S. Dollar as well, as most ship recycling nation currencies seemed to irrationally display the same amount of instability this week, resulting in a quieter port position in both India and Bangladesh. Moreover, and shockingly of all, despite apparently performing off the charts for a majority of the year, the Baltic Dry Exchange Dry Bulk Index slid so rapidly over Q4 2024, it recorded an overall 52.5% annual decline, the worst since 2014. Sectors such as Capesize index fell 66.7%, Panamax index fell 48.7%, and even Supramaxes saw a 32% decline across the year. While the wet sector continues to sprinkle its share of tonnage after quite a hiatus, the supply of recycling vessels heading into 2025 is certainly gearing up for a seeming uptick. The overall declining Baltic Exchange also saw oil prices relaxing around the USD 70.6 / barrel for the week as well, as non-OPEC+ countries are expected to drive up output despite the dithering Chinese demand, where China today is the largest importer of oil in the world.

2024 has also marked itself as a year of noteworthy transitions and development across international recycling markets, as a recognition to upgrade facilities and officiate the HKC in the respective Indian sub-continent ship recycling destinations highlights the willingness of these governments to undertake the business of ship recycling, in a broader and internationally accepted standards on safety and environmental safety and 2025 should hopefully see Pakistan and Bangladesh ramp up yard upgrades to HKC standards ahead of its entry into force from the middle of next year. Local steel plate prices have been through the worst of times falling over USD 150/Ton from the highs seen earlier in the year, until the close of this week where both Indian and Pakistani steel plate prices reported further declines whilst Bangladesh and China flatlined this week.

The Supply of tonnage has seen a year of record low recycling volumes, and yards are certainly yearning for busier days ahead, as freight markets increasingly start to divert more candidates for recycling, after a year of glorious charter rates across all sectors. Recycling prices have themselves seen significant declines over the course of the year, from a high of USD 600/LDT during Q1, right down to USD 450s/LDT come Q4 2025. This has kept most recycling yards suspended in a state of limbo as a permanent shut down would be far more expensive than a temporary operational closure, which several yards across the Indian sub-continent and even Turkey, have reported through the year. Political instability has been rife across the sub-continent, adding to the inability of these economies to stabilize enough and match their offers with the volatility of the U.S. Dollar. In India and Bangladesh, PM Modi failed to win the required majority during the India's 2024 election and PM Sheikh Hasina fled Bangladesh after an insurrection that lead to an interim military government taking charge, resulting in infrastructure projects being put on hold. President Trump's second term will also be another test for global nations as looming tariffs only stand to spell disaster. Overall, an unprecedented year in recycling markets is therefore hoping to recover, with increased volumes, more regulations, and certainly a shade of volatility. Here we come 2025!

BANGLADESH

SLOOOW!

Year of upheaval.

A truly transformative year for Bangladesh has finally settled in the last two months of this year as end buyers are gradually starting to look toward 2025 with a greater sense of optimism & hope for the country's ship recycling sector, and the nation overall. After initially resisting the IMF's assistance, a couple of years ago when the country eventually succumbed to apply for a bailout package, coupled with poor fiscal policies and an oligarchic control of the previous government that resulted in interest rates rising, exports declining, and the government dipping ever deeper into the nation's reserves to balance out the needs of the populous.

Volumes low.

The resulting economic collapse coupled with the implementation of unpopular government plans saw violent outbreaks that saw thousands dead, a Prime Minister flee the country, and weather patterns batter the nation through an incessant monsoon that bought domestic construction projects to a complete halt. However, not all is down the tubes and into the ocean. Bangladesh's upcoming budget for FY 2025 - 2026 promises greater economic stability and is expected to be about 6.5% higher than the current one. While the budget is concentrating on health and education sectors, notices were surprisingly issued to curtail any major construction projects, at least for the time being.

Demand return.

This is certainly going to hit Chattogram Choppers in the welding torches as the ongoing dithered volume in the trading of ship's steel has seen demand from Bangladeshi steel mills come to a grinding halt, causing local steel plate prices to collapse in sharp declines throughout the year, to where they have now set the ceiling price for the Bangladeshi ship recycling fraternity. And this week was no different, where steel levels remained dead on the floor at a weakened USD 521/Ton. The collapsing Bangladeshi Taka too has done little to entertain the pricing comfort-zone from this market as the Taka continues to trade at a famished BDT 119.99 against the U.S. Dollar, after briefly spiking to BDT 120.05 mid-week.

The lack of demand of recycled ship's steel from domestic steel mills continues to hamper demand and the negotiating mindset of local recyclers at the bidding tables, who only welcomed a tiny sub 2K LDT tanker at the nation's waterfront this week, earmarking the true state of Bangladeshi affairs. As impending sanctions stand to see an influx of wet tonnage from certain regions of the world, most of which will likely end up in India due to L/C values on the large LDT tonnage, but there will be more of those favoured larger LDT dry vessels for recycling sale next year, especially given the performance of the Baltic Dry Exchange of late, and a prolonged absence of juicy units this year on account of consistently impressive freight rates.

As the deadline for compliance with HKC standards gradually nearing and only 4 ship recycling yards in Chattogram have received their NK HKC accreditations, the remaining yards will need to gear up and implement the necessary infrastructure upgrades over the course of this year, as the convention is finally enters into force in 2025.

NO MARKET SALES REPORTED

INDIA

CONSIDERABLE CONSTERNATION!

Alang, like the rest of the sub-continent ship recycling industry, has endured a tumultuous year of declining prices, economic collapse, political shock, a declining Rupee, and all of it, swimming in a sea of the lowest ship recycling volumes seen in over a decade, resulting in an increasingly Buyers` market that is compelling ship owners and cash buyers to finally accept current day realities on vessel prices. This has increasingly seen Alang's waterfront get busier over recent weeks, as a healthy chunk of recent introductions into the market seemed to find themselves with navigation charts towards WC India.

Rough year.

Cheap Chinese steel has caused considerable consternation, and the recently renewed alliance of ruling parties India has finally announced upcoming tariffs on incoming steel from China that are expected to range anywhere between 10% - 15%. The imposition of further tariffs would on the one hand, help it compete more effectively with Indian steel thereby driving more business towards Alang's ship recycling sector. The flip side would not only see Chinese steel demand start to dither, but a possible redistribution of excess and resultingly cheaper inventories may garner further business on the trading front, possibly having a counter-effect on the supply of tonnage for recycling during this time.

Cheap Chinese.

Notwithstanding, the steady volatility in steel plate prices have seen levels decline by over USD 150/Ton, bringing down vessel prices by the same amount over the span of 2024. With the sudden new lows of USD 450/Ton being presented on vessels, it has taken some time for the ship owning and cash buying fraternities to finally adjust to the ongoing offerings from ship recyclers and resume negotiations in kind. With tonnage supply set to firm and hungry recyclers worldwide welcoming the potential increase, steel plate price and U.S. Dollar concerns continue to keep local sentiments in check as not only did plate levels drop by a couple of Dollars this week, but even the Rupee ended at a disastrous Rs. 85.40 against the U.S. Dollar.

Acceptable levels.

Local port positions too were left empty this week, with nothing more than deliveries of prior arrivals, and no fresh deliveries this week, resulting in India potentially suffering a possible empty report next week?

Finally, as HKC convention gears up to head into force this year and a majority of yards in Alang already HKC approved, India seems well geared to take on the influx next year.

NO MARKET SALES REPORTED

PAKISTAN

STRUGGLING WHILE DISINTERESTED!

Negligible.

Pakistan, like its subcontinent counterparts, has struggled through a year of economic hardships, a PKR that also collapsed this year, shortage of U.S. Dollars that has practically halted its trading and restricted its availability via lack of available L/Cs for local recyclers who were already being crippled by the ongoing shortage of tonnage and a far more competitive India of late, the nation has struggled through all of 2024 and ending it with the 2nd lowest volume of tonnage recycled over the last decade.

As pending IMF loans and those from Saudi Arabia still hang in the balance, there is little brewing locally to ignite any meaningful discussions with Gadani recycles at the bidding tables, a trend that has been painfully prevalent for a majority of the year and especially Q4 this year, where nearly 3 months of an empty port position highlight the true state of not only Gadani's ship recycling sector, but even the nation on the whole. And regrettably, this trend is likely expected to continue well into Q1 2025 as economic stability is yet to get back on stable footing.

Little efforts.

Fundamentals are doing little to help Gadani ship recyclers especially as the collapse of local steel plate prices continues again for the 2nd week this month and plate fell by another USD 7/Ton down to USD 639/Ton this week, but it was the depreciated Pakistani Rupee that fell 30 basis points to end the week at USD 639/Ton, further ensuring Gadani's deliberate lack of participation at ongoing tonnage offerings.

Moreover, as Bangladesh and India remain well ahead from Pakistan in terms of demand and pricing, both markets have already made considerable efforts and investments in upgrading their facilities up to HKC standards ahead of its entry into force by mid next year, while Pakistani recyclers are yet to initiate any yard upgrades whatsoever, severely diminishing the ability of local recyclers to prepare for the convention coming into force in the next 6 short months.

Woefully off.

As such, questions must be asked surrounding the viability of any serious business for the Gadani ship recycling market, whilst pricing, pending yard infrastructure upgrades, weak fundamentals, and a struggling economy still remain so woefully off the mark.

NO MARKET SALES REPORTED

TURKEY

SILENT YEAR!

Dishevelled.

As week 52 wraps up another year in Aliaga's ship recycling market, the situation here, like in Aliaga, has been severely affected by its own fundamentals, cheaper steel imports, and a Lira that continues to drop by the week. This week as well, the Lira fell another 23 basis points (surprisingly lower than Pakistan's), to end the week at TRY 35.30 against the U.S. Dollar.

With bare minimal tonnage offerings, weak import and local steel plate prices, as well as a Lira that has shown no mercy to its citizens, Aliaga, like Gadani, is expected to spend Q1 2025 in a rather dishevelled state.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 52 of 2024, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	470 / LDT	490 / LDT	500 / LDT
2	India	**Stable**	460 / LDT	480 / LDT	490 / LDT
3	Pakistan	**Stable**	450 / LDT	470 / LDT	480 / LDT
4	Turkey	**Weak**	310 / LDT	320 / LDT	330 / LDT

MORE AWESOMENESS.

- *The Tulip is the most popular flower.*
- *Table tennis, or ping-pong, is the world's most played sport.*
- *The brain sends information at more than 380 km/h.*
- *We blink about 20,000 times a day.*
- *We breathe 20 times a minute, or more than 10 million times a year, or about 810 million times in a lifetime.*
- *Your stomach must produce a new lining of mucus every two weeks—otherwise, it would digest itself!*
- *During a lifetime, the heart pumps the equivalent of a million barrels of blood.*
- *Your eyelashes keep sweat from your brow from running into your eyes, protect your eyes from the sun and rain,*
- *and block dust and sand.*
- *A human heart beats about 35 million times in one year.*
- *Identical twins don't have identical fingerprints.*
- *During the summer months, lightning strikes somewhere in Canada every three seconds.*
- *A lightning bolt is a million times more powerful than ordinary household current, transporting up to 100 million volts of electricity.*
- *Dolphins can swim in their sleep.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
December 31 – New Year's Eve	December 29 – January 06 January 11 – January 18

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
December 31 – Bank Holiday	January 02 – January 05 January 15 – January 18

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until 2025	December 25 – Quaid-e-Azam Day December 26 – Day after Christmas	**No holidays until 2025**

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ALANG - Port Position as of December 27, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Bereg Mechty (Under Tow/Arrested)*	*7,263*	*Reefer*	*Delivered December 22*
4	*Prince 4*	*2,860*	*Bulk Carrier*	*Delivered December 26*
Total Tonnage		**10,123**		

CHATTOGRAM - Port Position as of December 27, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	New Smile	1,969	Tanker	Arrived December 26
Total Tonnage		**1,969**		

GADANI - Port Position as of December 27, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
	No new vessels reported			
Total Tonnage		**-**		

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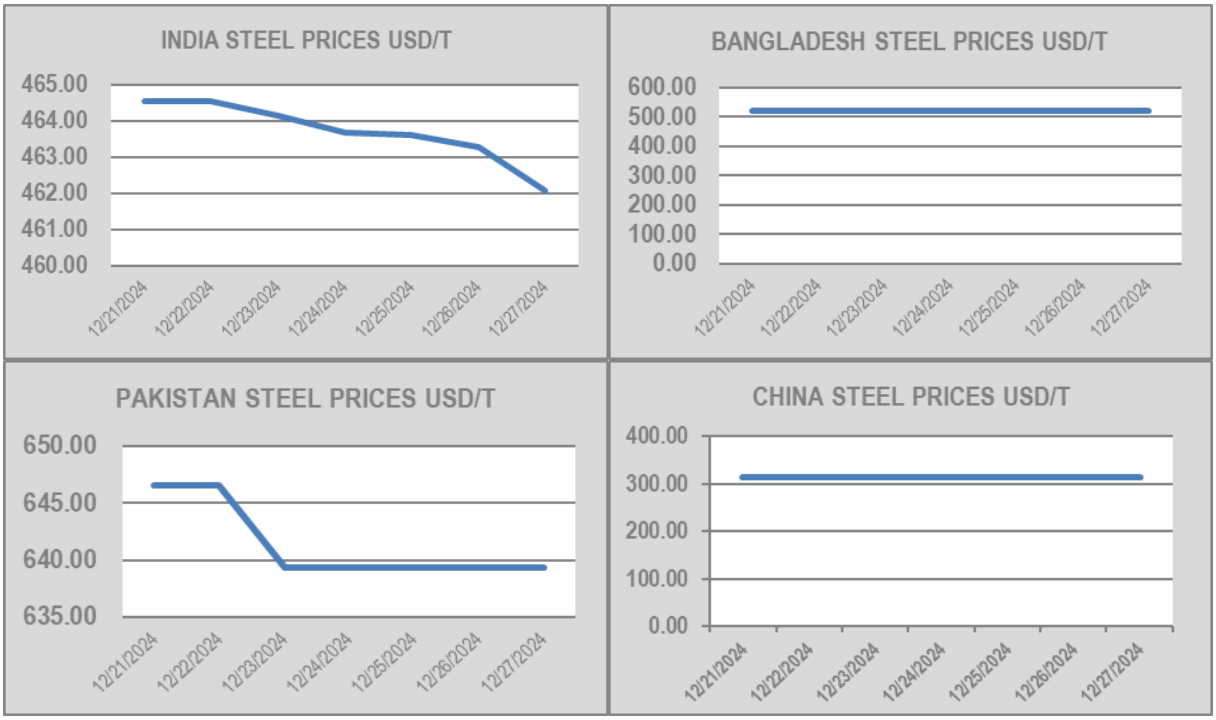
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/21/2024	464.54	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22
12/22/2024	464.54	39,500.00	646.55	180,000.00	521.01	62,000.00	315.22
12/23/2024	464.15	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/24/2024	463.67	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/25/2024	463.62	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/26/2024	463.29	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22
12/27/2024	462.10	39,500.00	639.37	178,000.00	521.01	62,000.00	315.22



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